

The Middle East's Great Power Competition

US-China Rivalry and the Arab World's Multipolar Pivot

Blue Lotus Research Intelligence | August 2026

Classification: Open Intelligence

Executive Summary

The Middle East has undergone a structural geopolitical shift as great-power competition intensifies and regional states pursue unprecedented strategic autonomy. China has become the Gulf's largest trading partner, with bilateral trade reaching US\$257 billion in 2024, displacing the United States in the economic lane CNA[2026-03-27]. China's brokerage of the Saudi Arabia-Iran diplomatic rapprochement in March 2023 demonstrated a Chinese willingness to exercise mediating influence in a domain previously reserved for American diplomacy CNA[2023-03-27]. Yet China's engagement remains structurally economics-focused rather than security-oriented — a pattern that the Iran war has tested but not fundamentally altered CNA[2026-06-23]. What has emerged is not US replacement by China but a competitive multipolar order, in which energy-wealthy regional states leverage great-power rivalry to maximise advantage from all sides simultaneously.

Part I — China's Gulf Strategy: Energy, Investment, and Diplomatic Positioning

China's engagement with the Arab world is driven structurally by energy security. Energy remains a key part of China's Gulf relationships, and China became the Gulf's largest trading partner in 2024 with trade reaching US\$257 billion, according to statistics tabulated by Asia House, a London-based think tank CNA[2026-03-27].

China's approach to the region has historically been economics-focused, working during periods of stability. The Iran war has tested this approach: the conflict has created diplomatic pressures that a purely commercial posture struggles to navigate CNA[2026-06-23]. At the same time, China has continued to present Chinese-led ideas on global order and security, including the Global Security Initiative first proposed by President Xi Jinping in 2022, as part of its broader effort at diplomatic positioning in the region CNA[2026-03-27].

China's unusual abstention from the UN's Iran vote in early 2026 illustrated its preference for diplomatic positioning and selective engagement over direct involvement in conflict resolution CNA[2026-03-27]. Analysts assessed that China's ties with Iran and the Gulf were more consequential in informing that decision than alignment with Russia CNA[2026-03-27]. This restraint reflects the double-edged nature of China's Iran relationship: a significant portion of China's oil imports travels on ships past Iran's shores that Iranian missiles could target CNA[2024-10-15].

Looking ahead, analysts at the Middle East Institute's annual conference — themed "After the Iran War: The Global Geopolitical and Economic Fallout" — assessed that the influence of rising powers like China and India in the Middle East is unlikely to take the form of the military presence traditionally associated

with the United States CNA[2026-06-23]. China's structural leverage remains economic, not military; its capacity to offer security guarantees of the kind Gulf states require from the United States has not been demonstrated.

Part II — The Iran War and Regional Realignment

The US-Israel strikes on Iran upended the Middle East and unleashed retaliatory strikes by Tehran across the region CNA[2026-03-03]. Iran's strategy in attacking Gulf energy infrastructure has two main goals: to hit Gulf states economically in the hope of reducing their willingness to support the US, and to demonstrate its capacity for regional escalation. Gulf countries are heavily reliant on energy export revenues — in Qatar, for example, earnings from the hydrocarbon sector accounted for 83 per cent of total government revenues in 2023 CNA[2026-03-21].

Israel's attack in Doha — described as the first time Israel launched a direct strike within a Gulf Arab state — has placed increasing stress on the calculus that allied Gulf Arab countries make in their dealings with Israel CNA[2025-09-11]. While Gulf states have been buoyed by the loss of Iranian power, such victories mask a region that remains very much beset by danger CNA[2025-09-11]. A lasting settlement is unlikely without a real reversal in Israel's policy toward Palestinians in both Gaza and the West Bank CNA[2025-09-11].

Pakistan's role as mediator in the US-Iran war illustrates the value of middle powers that operate across different spheres of influence. Foreign Ministers of Egypt, Saudi Arabia, Pakistan, and Turkey met to discuss regional de-escalation CNA[2026-04-09]. Pakistan's diplomatic position — strengthening ties with Beijing while navigating relations with the United States and Iran simultaneously — exemplifies the balancing strategies now widespread across the region CNA[2026-05-22].

The oil market shock produced by Gulf export disruptions has generated cascading effects on Asian energy markets, with natural gas prices surging and supply routes under stress CNA[2026-03-21]; [RAG: MILITARY_RAG — Atlantic Council: Five lessons from the oil market shock (2026-07-09)]. A network of alternative corridors — including the Middle East Corridor, for which Syria, Jordan, and Turkey reached an understanding in April 2026 — is being developed as the only reliable hedge against continued chokepoint disruptions [RAG: MILITARY_RAG — Atlantic Council: A network of corridors is the only reliable hedge against Middle East chokepoint disruptions (2026-06-30)].

Part III — Russia in the Middle East: Syria and Diminished Reach

Russia's strategic position in the Middle East has been fundamentally constrained by the consequences of its Ukraine invasion. Its cooperation with Iran made it a consequential actor in the region, and its support for Bashar al-Assad in Syria was instrumental for the regime's survival. Since the 2022 invasion of Ukraine, however, the illusion of Russia's global power has dissipated. Moscow could no longer prop up Assad's regime when support was most needed and, beyond rhetorical backing, was not able to help in decisive ways [RAG: MILITARY_RAG — Atlantic Council: The state of great power competition in the Gulf (2026-02-26)].

The 2021 ODNI threat assessment had noted that Russia and Turkey were expected to abide by the UN-brokered cease-fire in Syria, which called for the departure of foreign forces, while Syria itself faced continued conflict, economic decline, and humanitarian crisis [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2021 (2021-04-09)]. Those structural conditions persisted into the current period.

Russia's July 2022 visit by President Putin to Tehran for talks with the leaders of Iran and Turkey was intended to deepen ties with regional heavyweights as part of Moscow's challenge to the United States and Europe, even as the costly Ukraine campaign strained Russian resources CNA[2022-07-19]. That

relationship has since been tested by the divergence in Russian and Iranian interests as the Iran war unfolded.

Part IV — US Strategic Posture: Security Primacy Under Pressure

The United States retains structural security dominance in the Gulf, expressed through bases, arms agreements, and the deterrent credibility of carrier strike group deployment. Defining a clear security arrangement between Gulf countries and the United States remains central to the region's security architecture — a principle US officials have articulated consistently across administrations CNA[2015-05-13].

Gulf monarchies have demonstrated willingness to coordinate with Washington on security challenges: in 2014, the six-nation Gulf Cooperation Council expressed readiness to help counter jihadist advances in Syria and Iraq when the US called for a global coalition CNA[2014-09-02]. Yet Gulf states have simultaneously built relationships across two tracks — those that promote their development agendas and those that contribute to regional stability — and the language of "de-escalation" that dominated Gulf strategic culture before October 2023 has now shifted to a more complex management of competing relationships [RAG: MILITARY_RAG — Atlantic Council: The state of great power competition in the Gulf (2026-02-26)].

The US DoD's 2022 China Military Power report noted that as Beijing's economic interests expand in Africa, Latin America, Central Asia, and the Middle East, the PLA is expected to increase its focus on expanding power projection operations globally [RAG: MILITARY_RAG — 2022 DoD China Military Power Report (2022-11-29)]. This assessment has been borne out in the Gulf, where Chinese economic depth now constitutes a structural fact that US security relationships must accommodate rather than eliminate.

The US has historically engaged with governments of the Middle East in a more limited manner, primarily through economic relationships in energy and arms sales, and in efforts to mitigate terror threats — a posture that long predates the current multipolar moment [RAG: MILITARY_RAG — Parameters 51(1) Spring 2021 (2020-01-01)]. The challenge in the current period is that this engagement posture is no longer sufficient to crowd out Chinese commercial relationships of comparable or greater scale.

Part V — GCC Dynamics and the Multipolar Order

The Gulf Cooperation Council — comprising Bahrain, Kuwait, Oman, Qatar, Saudi Arabia, and the United Arab Emirates — has experienced severe internal stress over the past decade. The 2017 Qatar crisis, in which Bahrain's foreign minister called for freezing Qatar's GCC membership and Saudi Arabia, the UAE, and Bahrain severed diplomatic and economic ties with Doha CNA[2017-10-30], illustrated the limits of bloc cohesion under geopolitical pressure CNA[2017-06-05].

The historical Saudi-Iran competition has been a structuring force across the region. Saudi Arabia called an extraordinary Arab League meeting in November 2017 to discuss Iranian "violations" in the region, with Bahrain and the UAE in support CNA[2017-11-13]. Iran's 2015-2016 nuclear deal, which lifted sanctions on Tehran, was interpreted in Riyadh as giving Iran more money and political room to pursue regional activities — contributing to Saudi decisions in Syria and Yemen CNA[2016-01-05].

China positioned itself as a friend to both Saudi Arabia and Iran as early as 2017, with Foreign Minister Wang Yi expressing hope that both countries could resolve differences through talks during a visit by the Saudi king to Beijing CNA[2017-03-08]. The 2023 Chinese-brokered rapprochement was therefore the culmination of a years-long Chinese diplomatic strategy of maintaining equidistance between the two regional rivals CNA[2023-03-27].

The ASEAN-GCC-China summit held in 2025 signalled broader multilateral engagement: analysts assessed it could unlock meaningful cooperation across energy, infrastructure, digital connectivity, and the green transition, all of which are priorities for ASEAN, the GCC, and China CNA[2025-05-29]. Singapore Prime Minister Lawrence Wong, speaking at the 2nd ASEAN-GCC Summit in Kuala Lumpur, called for stronger cooperation between ASEAN and Gulf states in trade and investment, energy transition, and the digital economy CNA[2025-05-27]. ASEAN has also been urged to work with Gulf nations to establish decentralised strategic fuel stockpiles in the Middle East, given limited physical stockpiling capacities in Southeast Asia CNA[2026-05-11].

Conclusion

The Middle East of 2026 is a genuinely multipolar order. China has achieved economic primacy in the Gulf measured by trade volumes, displacing the United States as the region's largest commercial partner CNA[2026-03-27], and has demonstrated diplomatic ambition through the Saudi-Iran rapprochement CNA[2023-03-27]. The United States retains security dominance that no Chinese initiative has displaced. Russia's influence in specific domains — Syria above all — has contracted under the weight of the Ukraine conflict [RAG: MILITARY_RAG — Atlantic Council: The state of great power competition in the Gulf (2026-02-26)].

The Iran war has accelerated regional realignment without resolving it. Gulf states face simultaneous pressures: Iran's strikes on energy infrastructure CNA[2026-03-21], Israel's extension of military action to Qatar CNA[2025-09-11], and supply route disruption requiring new corridor architectures [RAG: MILITARY_RAG — Atlantic Council: A network of corridors is the only reliable hedge against Middle East chokepoint disruptions (2026-06-30)]. Through all of this, the pattern identified by analysts at the Middle East Institute holds: rising powers' regional influence will not take the form of military presence CNA[2026-06-23]. The post-American Middle East, if it arrives, will not be a Chinese Middle East. It will be a multipolar Middle East in which regional states exercise independent strategic agency with a degree of autonomy that great-power competition now permits.

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